

Eicher Motors Ltd

Investment Rating : Excellent

Company Overview

Website	https://www.eicher.in/
Sector	nan
Market Cap	222,391.83 Cr
PE Ratio	15.62
PB Ratio	13.61
Dividend Yield	4.41 %

Financial Quality

ROE	24.2
ROCE	31.1
CFO Quality	High Quality
FCF CAGR	nan%
Capital Pattern	Excellent

Capital Allocation

Capital Score	100.0
Reinvestment	Growth Focused
Debt Trend	Increasing Debt
Leverage	Low

Business Overview

Eicher Motors Limited, incorporated in 1982, is the listed company of the Eicher Group in India and a leading player in the Indian automobile industry and the global leader in middleweight motorcycles. Eicher has a joint venture with Sweden's AB Volvo to create Volvo Eicher Commercial Vehicles Limited (VECV). VECV is engaged in truck and bus operations, auto components business, and technical

Strengths

Consistently high return on equity above 20% demonstrates exceptional capital efficiency.
Strong free cash flow generation over 5 years signals healthy business fundamentals.
Operating profit margin above 25% indicates strong pricing power and cost discipline.
Very high interest coverage ratio reflects negligible financial stress from debt servicing.
Consistent dividend yield above 2% backed by positive free cash flow.

Risks

No significant financial weakness identified, however future performance should continue to be monitored.